

Kenya Airways Investor Briefing

HY2017 Results Presentation

17th November 2017



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Agenda

1. Market Perspectives
2. Sustainable Development in Africa
3. A strong KQ Leads to a Strong Kenya
4. Financial Results
5. Business Strategy



Market Perspectives



Global Aviation



Economic development is a big winner



2018 forecast: the industry to generate a return on invested capital (ROIC) of 8.8%



Governments gain substantially from \$124bn of tax this year and from over 69 million 'supply chain' jobs



1% of world GDP to be spent on air transport, totalling \$776B



Total employment by airlines will reach 2.78million in 2017, a gain of over 4.8% compared to 2016



Competition Overview



100% government owned
Fleet size: 329
Destinations: 302 (44 in Africa)



100% government owned
Fleet size: 126
Destinations: 86 (2 in Africa)



100% government owned
Fleet size: 200+
Destinations: 140 (20 in Africa)



100% government owned
Fleet size: 203
Destinations: 150+ (23 in Africa)



Public Listed Company
Fleet size: 38
Destinations: 53 (40 in Africa)



100% government owned
Fleet size: 94
Destinations: 121 (77 in Africa)



100% government owned
Fleet size: 50
Destinations: 73 (32 in Africa)



100% government owned
Fleet size: 55
Destinations: 50 (41 in Africa)



100% government owned
Fleet size: 12
Destinations: 21 (17 in Africa)

Africa Outlook

Promising
growth
prospect

Consumer
Spending Power
continues to rise
at an average
rate of 14%
yearly

Average GDP
growth in 2018
to reach 4.3% as
economies bounce
back after 2016
slowdown

Source: IMF

African Market Potential

High growth dynamics of flights are projected for Kenya within next 5 years



Source: IATA

Kenya is the leading economy in East and Central Africa

**STRONG
ECONOMY**

**STRONG GDP
GROWTH**

**REGIONAL
EQUALIZER**

**HIGHLY
SKILLED
WORK
FORCE**

**INTERNATIONAL
HUB**

*A strong KQ leads to a
stronger Kenyan Economy*



KQ's Role in the Country's Economy

Key benefits for Kenya



Over **12K**
passengers
daily



Over **10,000**
meals served on
board, the largest
restaurant in KE



170 tonnes
of cargo daily



140 take offs
and landings
per day



53
destinations



Awards



**Africa's Leading
Airline in 2017**

**Africa's Leading Airline
Business Class**



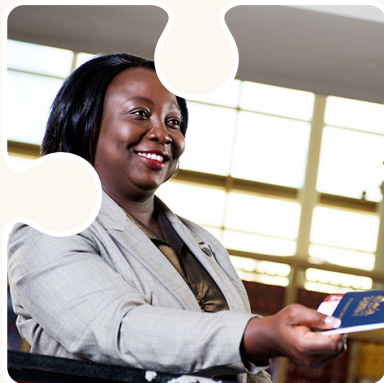
Financial Results



Operating Highlights

Cabin Factor
up 5.4% to
76.9%

6.7% increase in
Intra Africa Traffic



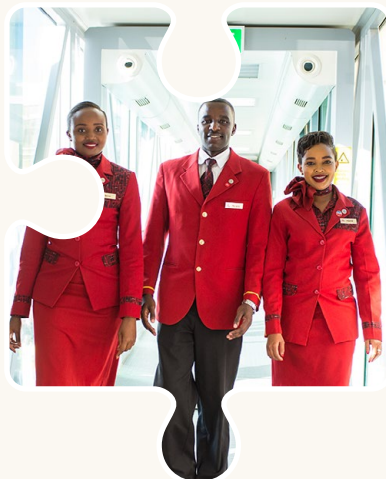
Passenger
numbers grew
3.3% to **2.3M**

Revenue Per
Kilometer grew
by **6%**

Financial Highlights

Operating profit of
KSh 1,443 million. 52%
increase, from KSh 949 million

Loss after tax
KSh 3.8 billion.
20.5% decrease from
KSh 4.8 billion



Overheads down
by 8.9%



Fleet cost down
by 21.9%



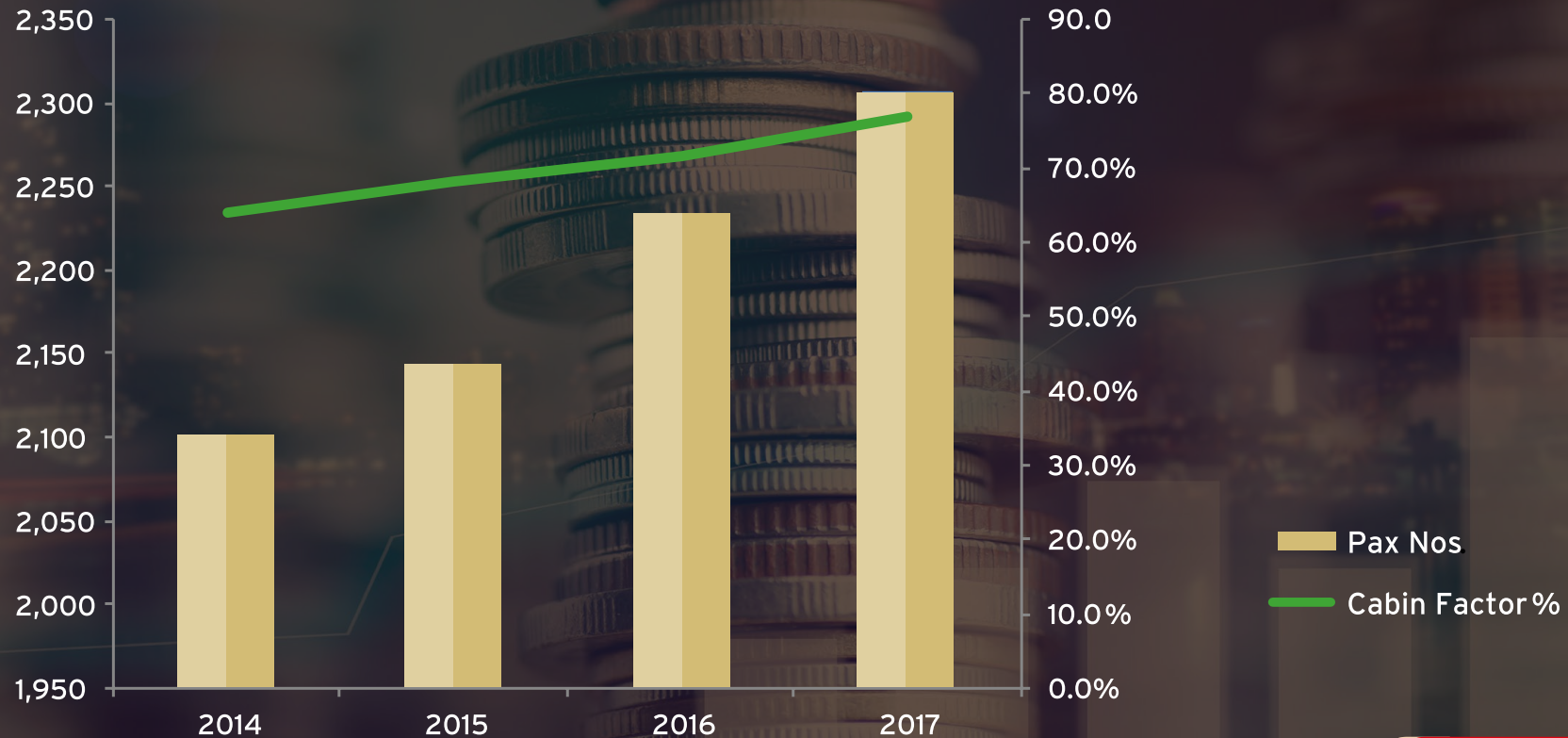
Operating Statistics - Half Year 2017

	2017	2016	Var	Var %
RASK (USc)	5.89	6.01	(0.12)	(2.0)
CASK (USc)	6.40	6.66	0.26	3.9
ASK's (mil)	7,132	7,237	(105)	(1.4)
RPK's (mil)	5,486	5,175	311	6.0
Cabin Factor %	76.9%	71.5%		5.4
Passengers ('000s)	2,306	2,232	74	3.3
Yield per RPK incl YR(USc)	7.66	8.41	(0.75)	(8.9)
Exchange Rate (KSh/US\$)	103.06	101.16	1.90	1.9
Cargo Tonnes	29,255	28,231	1,024	3.6
Cargo Yield per KG (US\$)	1.21	1.31	(0.10)	(7.6)

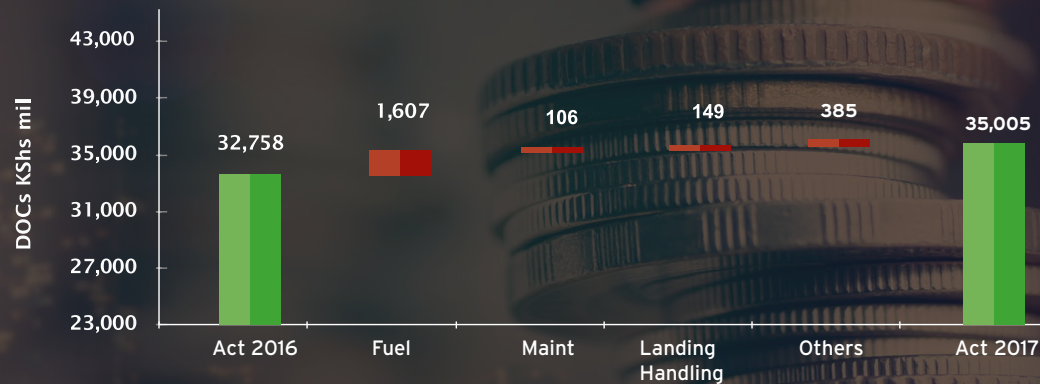
Consolidated Income Statement

	30 Sep 2017 KShs M	30 Sep 2016 KShs M	Change %
Revenue	54,518	54,748	(0.4)
Operating costs	(53,075)	(53,799)	(1.3)
Operating profit	1,443	949	52
Operating margin (%)	2.65%	1.73%	
Other costs	(5,212)	(5,675)	(8.2)
Loss before income tax	(3,769)	(4,726)	20.2
Income tax charge	(33)	(57)	(42.1)
Loss after tax	(3,802)	(4,783)	20.5
Other comprehensive income for the year	590	1,545	(61.8)
Total comprehensive loss for the year	(3,212)	(3,238)	(0.8)
Loss per share (KShs)	(2.54)	(3.20)	

HY Pax nos/Cabin Factor



Operating Cost and Revenues



Operating cost higher than last year driven by fuel prices



Consolidated Statement of Financial Position

	30 Sep 2017 KShs M	31 Mar 2017 KShs M
ASSETS		
Non-current assets	117,168	119,397
Current assets	24,844	26,747
Total Assets	142,012	146,144
EQUITY & LIABILITIES		
Equity attributable to owners	(48,179)	(44,964)
Non-controlling interest	52	49
	(48,127)	(44,915)
Non - Current Liabilities	114,206	119,758
Current liabilities	75,933	71,301
	190,139	191,059
TOTAL EQUITY AND LIABILITIES	142,012	146,144

Consolidated Statement of Cash Flows

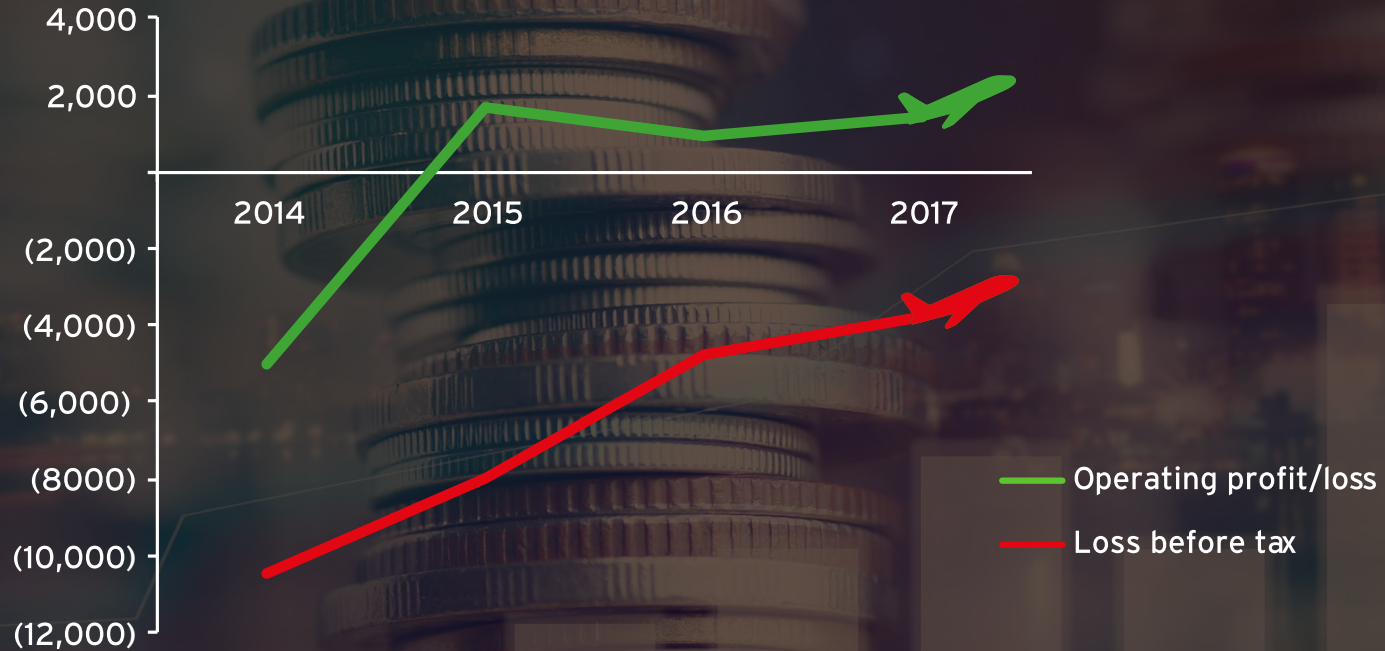
	30 Sep 2017 KShs M	30 Sep 2016 KShs M
Cashflows from operating activities		
Cash generated from operations	9,832	9,333
Interest received	17	5
Interest paid	(3,714)	(3,630)
Income tax paid	(30)	(141)
Net cash generated from operating activities	6,105	5,567
Cash flows used in investing activities	(1,334)	(1,910)
Cash flows (used in) / from financing activities	(6,962)	3,941
Net increase / (decrease) in cash & cash equivalents	(2,191)	7,598
Cash and cash equiv at beginning of year	9,177	4,827
Cash and cash equivalents at end of year	6,986	12,425



Growth in
operating
cash flow

Effective working
capital management

Operating Performance on an Upward Growth



Business Strategy



KQ Group Integration



Jambojet
.com



Key KQ Strategies

**Profitable
Network**

**Launch of
New York**

**Cost
Reduction**

**Winning
the Market**

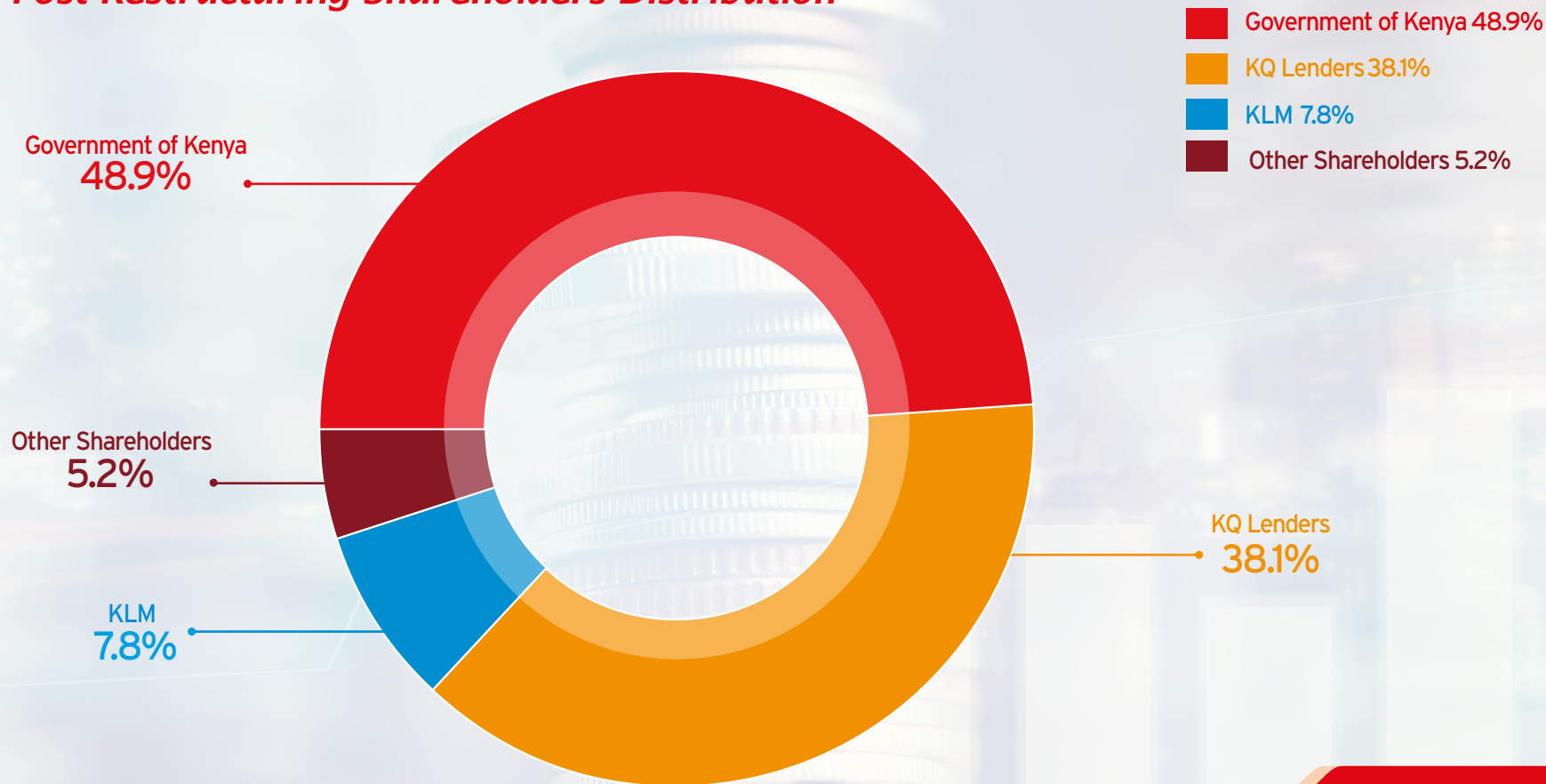
**Improved
Revenue
Structure**



Capital Optimisation



Post Restructuring Shareholders Distribution



Benefits of Financial Restructuring

36%
Debt Reduction

From **21** To **7**
Reduction of Debt
to EBITDAR Ratio

35%
Liquidity Relief

Q&A

Grazie

Wado

Danke

Obrigado

Aabhar

Tack

Merci

Na som

Merkzi

Thank you

Ngiyabonga

Dankon

Choukrane

Nandri

Asante

Saha

Dankie

Kiitos

Akiba

Salamat

Gràcies

Mahalo

Khob chai

Shukriya

Dhanyava

Doh je

Shukran

Salamat

Danke